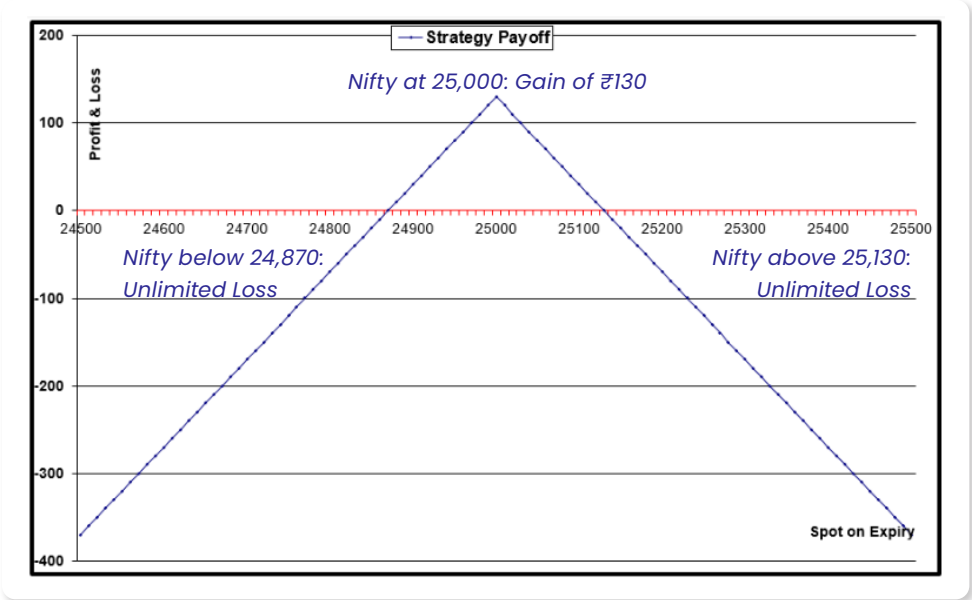
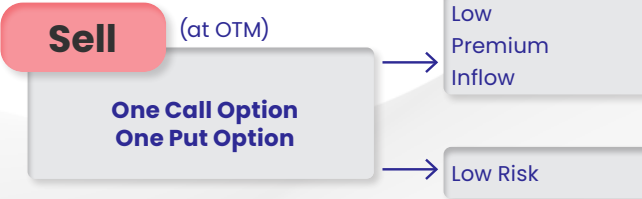


Let us visualise these pay-offs.



5.2.2 Short strangle

Short strangle is a better version of short straddle in terms of risk exposure. Here, we sell OTM calls and puts. As a result, the premium inflow is less, but the risk is also less.



Example: Suppose you execute the following strategy:

Particulars	Strike Price	Price
Sell Nifty call	25,100	₹20
Sell Nifty put	24,900	₹40

The margin required is ₹2,50,000.
Let us calculate the risks and rewards.